

Further And Longer

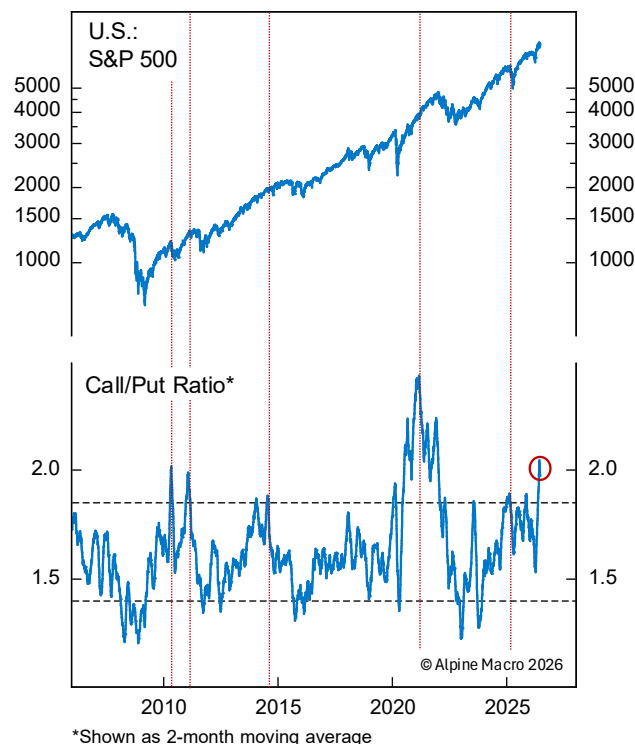
- The U.S.-Iran peace deal is unambiguously positive for both stocks and bonds.
- The technical positions, however, warn of short-term price vulnerability for U.S. stocks.
- Both structural and cyclical tailwinds behind the AI boom remain strong.
- We project the AI boom will evolve into a mania and bubble in the later part of this decade.
- A few investment bets follow.

The tentative peace deal between the U.S. and Iran is great news for financial markets. Our short USO position is deep in the money, but we suspect that crude prices could tumble to the \$50-60 per barrel range. Regardless, falling energy costs will help extend the equity bull market by lowering inflation expectations, supporting consumers and businesses, and boosting corporate earnings. Declining crude prices may also alter the Fed's calculus on inflation and, therefore, on monetary policy in due course.

Short-Term Hurdles

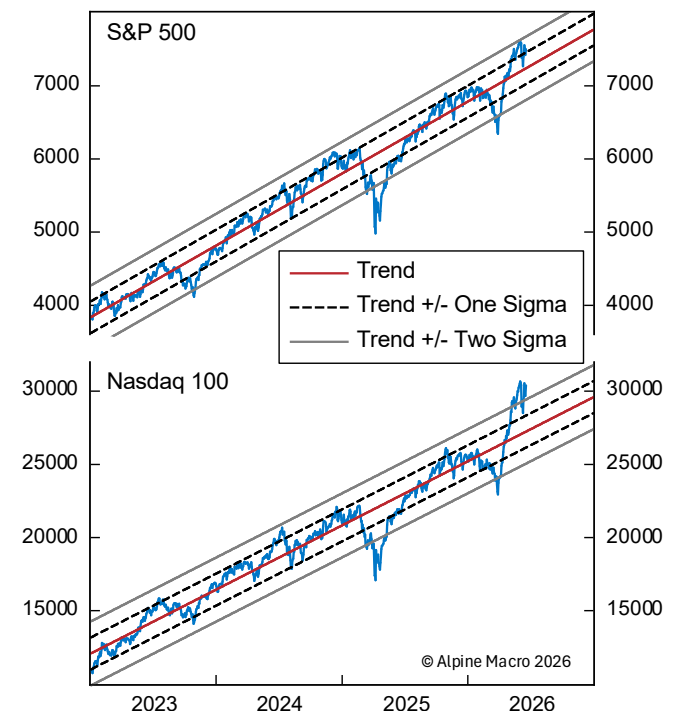
While the peace deal is unambiguously positive for stocks, the equity market may face a few hurdles in the short term. The steep run-up in stock prices since early April suggests that the U.S. equity market has already moved on from the Iranian war and oil shock, while investors have refocused on the AI breakthrough, capex plans, earnings growth, and broad economic resilience.

Chart 1: Technical Positions Are Vulnerable



Source: Alpine Macro, CBOE

Chart 2: Both Indices Are Overbought



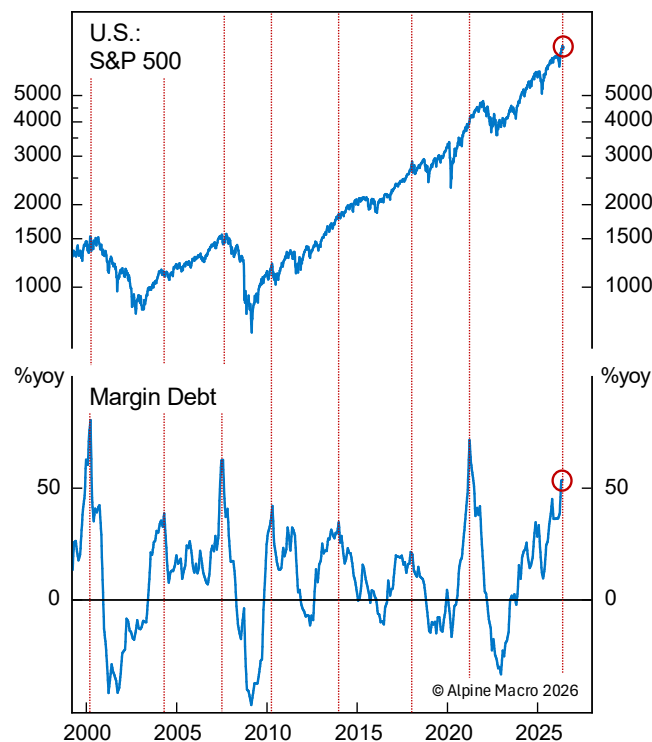
Source: Alpine Macro

The announcement of the peace deal last week simply reconfirmed the market's view that President Trump wants to end the war, bring down gasoline prices, and reposition his policies for the midterm elections.

Going forward, the market may need some time to digest the massive gains made since early April. Several indicators are flashing technical vulnerabilities. The call/put ratio ([Chart 1](#)) indicates that the equity market is "bulled up", which, from a contrarian viewpoint, usually heralds a possible pullback.

Meanwhile, the S&P 500 touched two standard deviations above its trend line a few weeks ago and is correcting, while the Nasdaq 100 has soared to three standard deviations above trend ([Chart 2](#)). There appears to be a great deal of air between these equity indices and their respective 200-day moving averages.

Chart 3: Rising Margin Debt Signals Growing Market Leverage



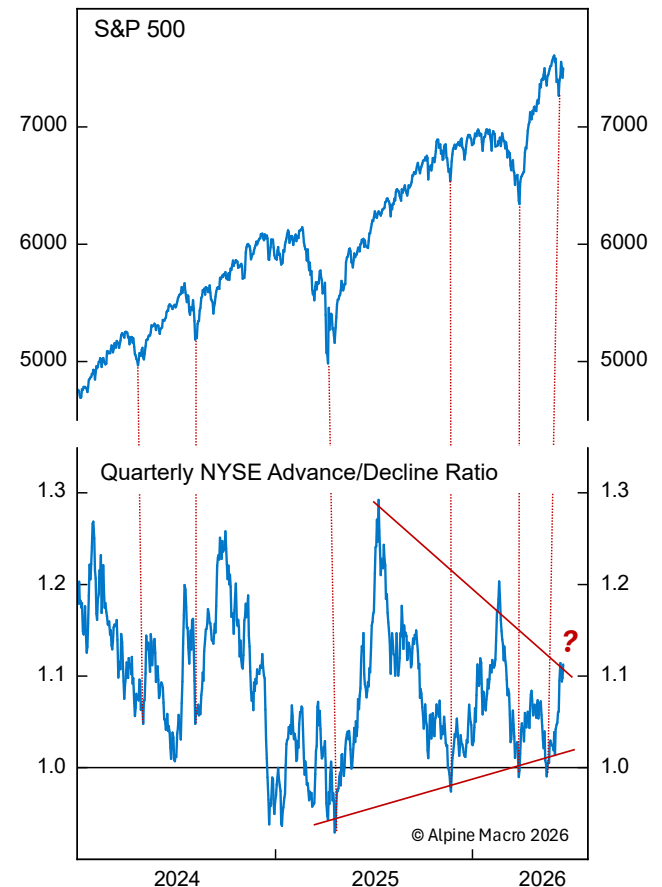
Source: Alpine Macro

Chart 3 shows margin debt has escalated, suggesting that the stock market has become increasingly leveraged as greed overcomes fear. The rapid surge in leverage also highlights the potential for a corrective phase.

These technical conditions typically warn of a possible correction, but it is hard to know when and in what form the market will work off its overbought positions. Keep in mind that there are many ways a correction can unfold—sector rotation, market broadening, or simply a price shakeout.

Finally, market breadth has been poor since 2025, highlighting the bifurcated nature of the stock market boom. However, breadth appears to have improved in recent weeks, although it is still too early to determine whether this marks the beginning of a sustained broadening-out process ([Chart 4](#)). If the AI boom starts to spread beyond a handful of market leaders, it could help cushion any potential shakeout in the major indices.

Chart 4: Market Breadth Is Narrow, But Improving?



Source: Alpine Macro, Wall Street Journal

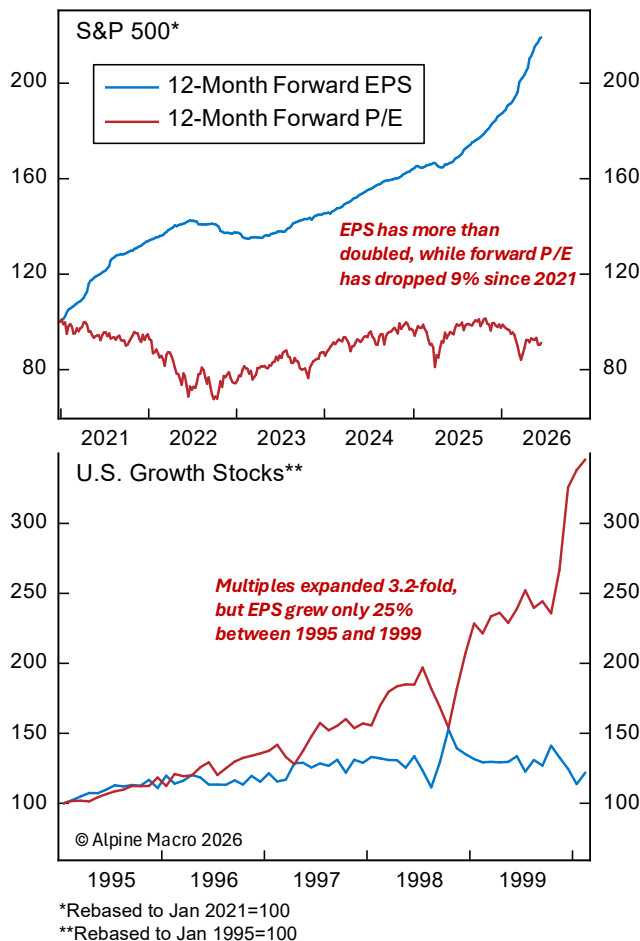
Bottom line: After sharp gains, the market's natural tendency is to pause or correct as it digests the good news. Of course, there is always the risk that investors wait for a pullback that never arrives. Therefore, getting the cyclical trend right is far more important than trying to time every wiggle in the market.

AI Boom: How Speculative?

From a cyclical perspective, we believe stock market fundamentals remain healthy. Some analysts have been throwing around the term "bubble" for a long time, but the reality is that there is no evidence that an AI bubble has become dangerously inflated, for several reasons.

First, as we have argued for some time, the AI boom has been driven almost entirely by earnings expansion, with virtually no P/E inflation. This is vastly different from the dot-com bubble of the 1990s, when stock price gains were driven overwhelmingly by expanding valuation multiples. [Chart 5](#) highlights this crucial difference.

Chart 5: Profit Vs Multiples: Now Vs Then



Source: Alpine Macro, MSCI Large, Mid & Small Cap, Bloomberg Finance L.P.

It is worth emphasizing that an asset bubble is fundamentally a price concept and refers to a situation in which asset prices far exceed any reasonable estimate of their underlying value. For equities, this necessarily implies excessively inflated valuation multiples.

In fact, the forward P/E ratio for the Mag 7 has fallen to 24x from more than 30x in early 2025, even though stock prices for this group have risen by 20% over the same period. It is the same story: earnings expansions have far exceeded price increases.

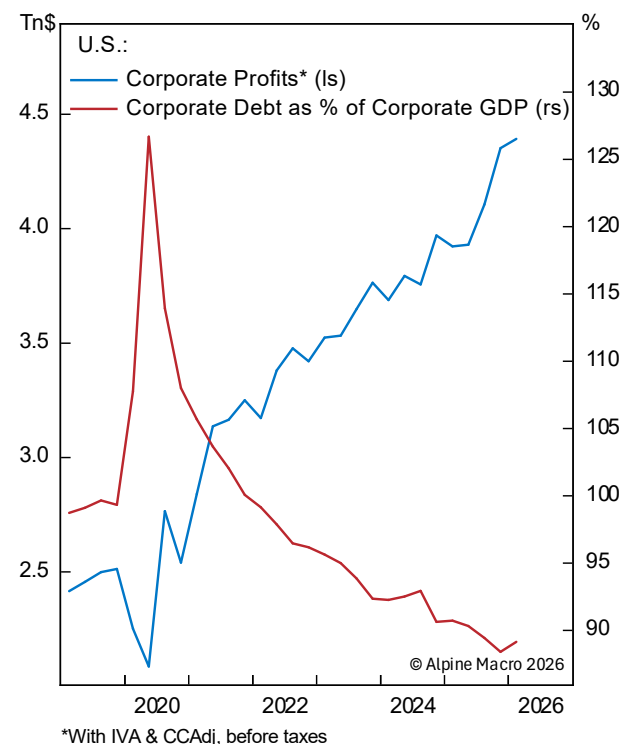
Second, pessimists have found a new angle from which to be bearish: they argue that the reason P/E multiples have not expanded is that earnings themselves are a bubble. Should that bubble burst, P/E ratios would surge.

The problem with this line of reasoning is that earnings are an income stream, and the notion that an income stream itself can constitute a bubble is highly questionable. There are only two ways for an earnings stream to become a bubble: either it is fraudulent or it is heavily leveraged.

So far, there have been no serious allegations suggesting that AI-related earnings are the product of financial fraud, unlike during the dot-com boom of the late 1990s, when accounting scandals were rampant.

Meanwhile, corporate leverage has fallen sharply since 2020 ([Chart 6](#)), leaving little basis for the argument that the corporate sector has created an earnings bubble by leveraging up balance sheets.

Chart 6: Corporate Leverage Is Down

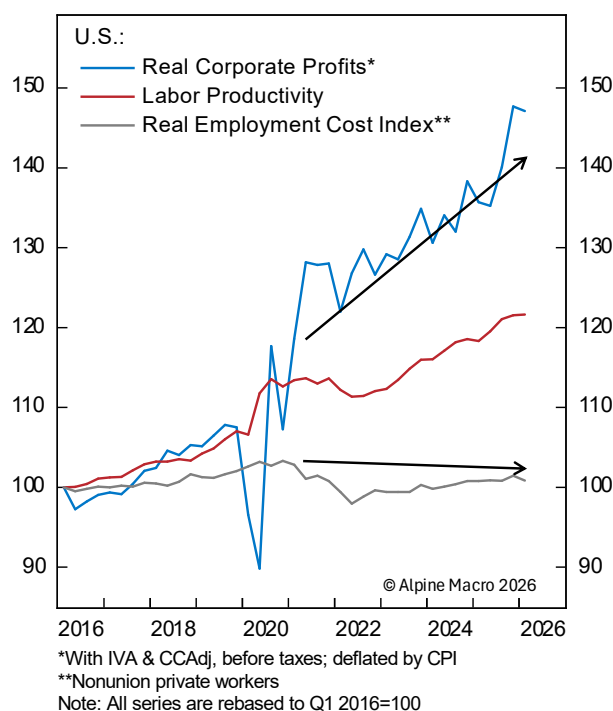


Source: Alpine Macro

The sources of corporate earnings growth are straightforward: outsized demand for computing power as AI technology proliferates, coupled with the continued ability of corporations to capture an increasing share of productivity gains.

Chart 7 shows that labor has received virtually none of the benefits from the recent surge in productivity growth, implying that almost all of the productivity windfall has accrued to the corporate sector. This helps explain why real profit growth has outpaced GDP growth by a large margin.

Chart 7: Distribution Of Productivity Windfalls



Source: Alpine Macro

Third, the U.S. equity market remains below fair value despite the large price gains of recent years. Valuing equities is always a thorny exercise, as different yardsticks often produce different results. However, most investors would agree that equity valuations have much to do with the level of interest rates and bond yields.

The top panel of **Chart 8** highlights the extremely tight correlation between long-term bond yields and the forward earnings yield of the S&P 500 during the 1980s and 1990s, when inflation, not deflation, was the dominant macroeconomic challenge.

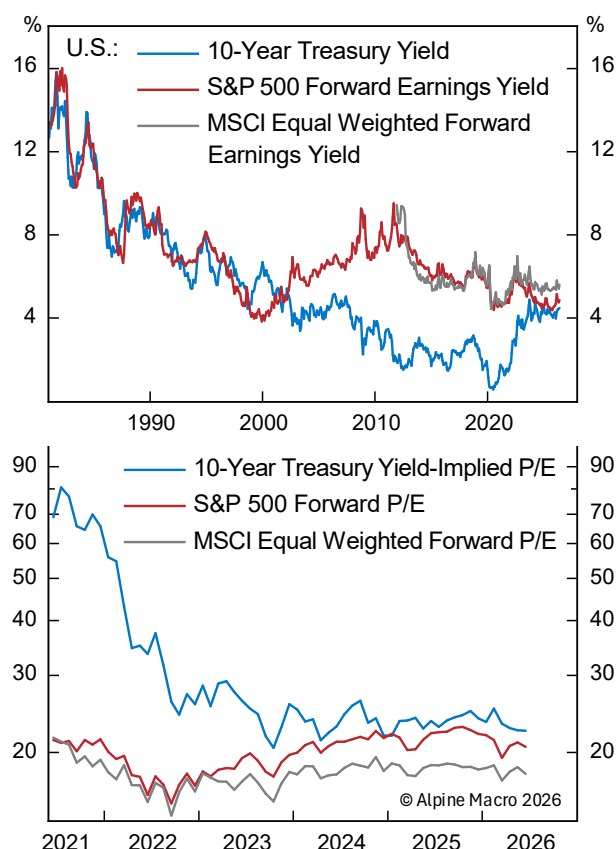
This relationship went on hiatus between 2000 and 2020, when deflation represented the primary threat to the global economy. Since 2022, however, inflation

has returned as the principal challenge for the U.S. economy. Not surprisingly, equity and bond markets have also reverted to the relationships that prevailed during the 1980s and 1990s.

This implies that the inverse of long-term bond yields can once again be viewed as a reasonable estimate of fair value for equity multiples. The bottom panel of **Chart 8** compares the current forward P/E ratios of both the capitalization-weighted S&P 500 and the equal-weighted index.

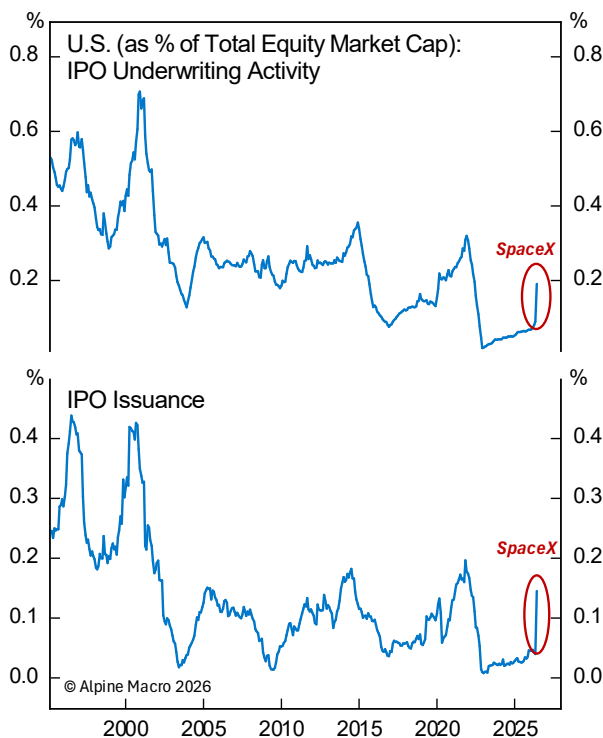
Based on this relationship, the capitalization-weighted index appears to be roughly 8% undervalued, while the equal-weighted index is approximately 20% undervalued. Put differently, equities do not appear excessively priced given current bond yields.

Chart 8: Bond Yields, Earnings Yields And P/E



Source: Alpine Macro, Bloomberg Finance L.P.

Finally, the notion that stocks may still be undervalued is consistent with the muted IPO market, despite the fanfare surrounding the debut of SpaceX (**Chart 9**). These developments suggest that monetary conditions are not overly stimulative at all. This is a key reason why market speculation has not become excessive or spun out of control.

Chart 9: IPO Market Remains Subdued

Note: Latest data are adjusted to include SpaceX's \$85.7bn IPO proceeds and \$2.4tn market cap; April-May IPO issuance is set to zero to bridge the data gap

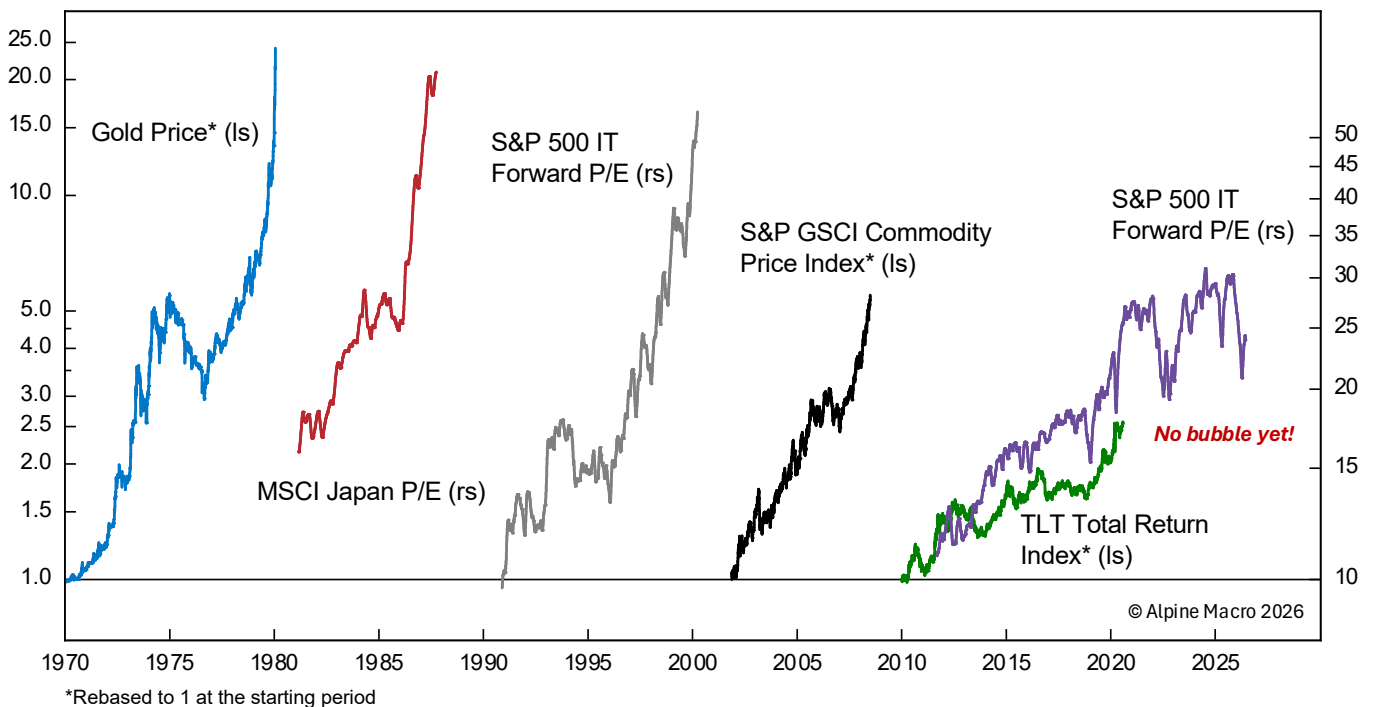
Source: Alpine Macro, SIFMA, Federal Reserve, World Federation of Exchanges

Mania Potential, Rates And Inflation

Since the 1970s, a recurring pattern has been that each decade produces a major winner in financial markets, and these winners tend to accelerate into bubbles during the second half of the decade. Invariably, these bubbles burst in the early years of the following decade. This pattern is illustrated in [Chart 10](#).

More importantly, falling interest rates have almost always been the catalyst that propels an asset boom into a bubble. This is because falling rates and cheap credit are the ultimate fuel for market speculation, driving prices to levels far beyond any reasonable estimate of underlying value.

Clearly, the AI boom has the potential to evolve into a major asset bubble. It is not one yet, but it will likely become one as we move into 2027 and beyond.

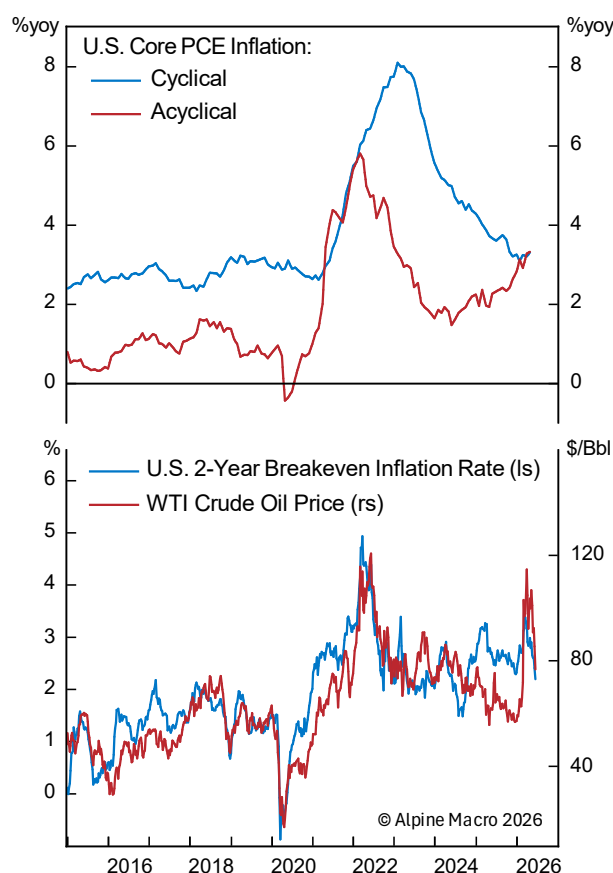
Chart 10: The History Of Asset Bubbles: Where Does The AI Boom Fit In?

Source: Alpine Macro, MSCI, Bloomberg Finance L.P.

All asset bubbles begin with important technology breakthroughs or strong economic fundamentals. The AI boom clearly checks that box. The missing ingredient is falling interest rates, which ultimately hinge on the inflation outlook.

The near-term inflation outlook is uncertain, and last week's FOMC meeting revealed a hawkish tilt, as half of the voting members penciled in a rate hike in the next 6 months. Nevertheless, we disagree and believe disinflation will return later this year and that inflation could fall faster than policymakers currently anticipate.

Chart 11: Inflation & Negative Supply Shocks



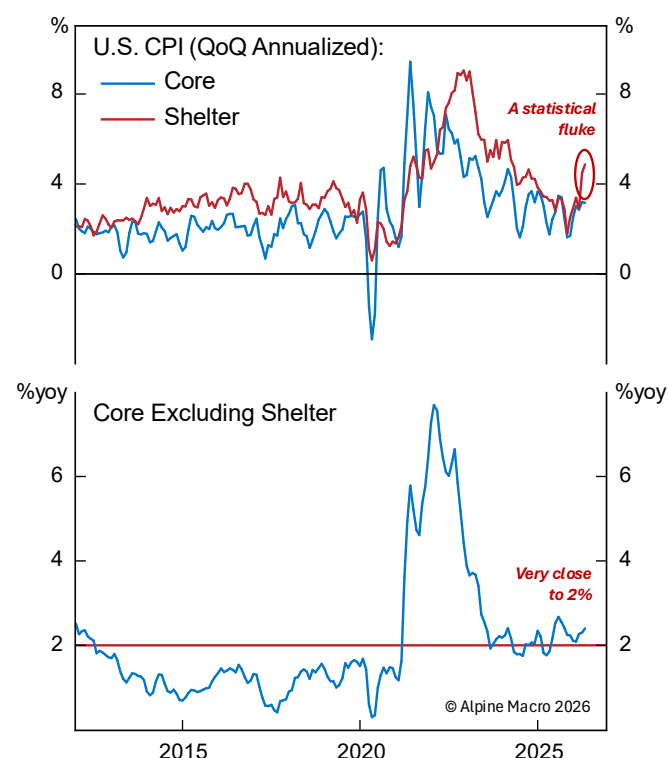
Source: Alpine Macro, Federal Reserve Bank of San Francisco, Bloomberg Finance L.P.

First, the recent backup in core PCE inflation primarily reflects a series of negative supply shocks, ranging from tariff hikes to the oil crunch. This is evident in the top panel of [Chart 11](#), which shows that the pickup in inflation was driven almost entirely by the “acyclical” components, defined by the San Francisco Fed as price changes originating from the supply side of the economy. The impact of these shocks is transient and will likely dissipate over time.

Second, the sharp decline in crude oil prices should lead to lower inflation and inflation expectations. If our view proves correct and crude prices tumble to \$60/bbl or lower, inflation expectations could fall dramatically, reducing the odds of any rate hike while increasing the likelihood of renewed policy easing. Take note that the 2-year breakeven inflation rate has already fallen to 2.2%, below the level prevailing before the war began ([Chart 11](#), bottom panel).

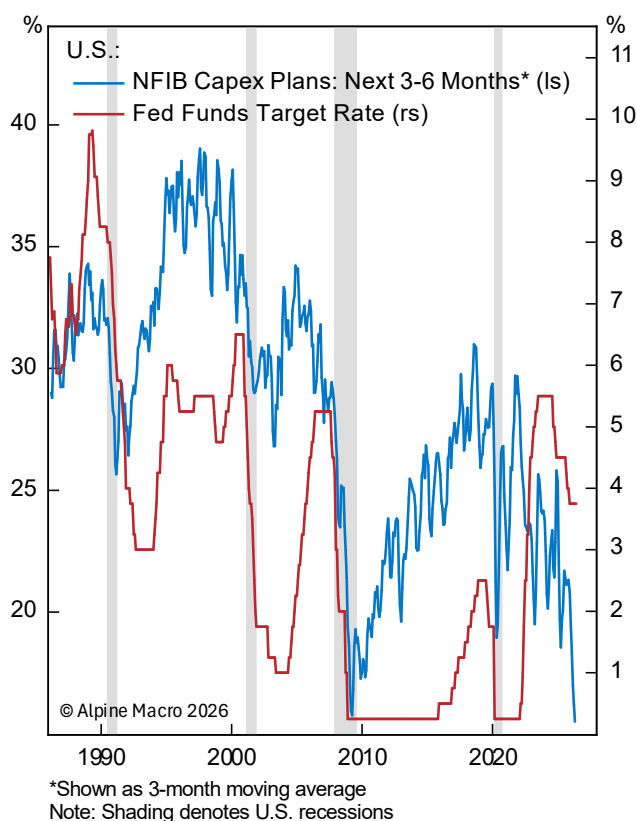
Third, although core inflation measures have rebounded lately, our colleagues at Oxford Economics have confirmed that the key reason behind the increase appears to be a statistical fluke caused by the October government shutdown and missing data, which affected the entire series ([Chart 12](#)). Excluding shelter, core CPI inflation is already very close to 2%.

Chart 12: Statistical Fluke Vs Spiking Inflation



Source: Alpine Macro

Fourth, the Fed is dealing with a bifurcated economy, in which a booming technology sector coexists with struggling small businesses and a weak real estate market. The NFIB survey, shown in [Chart 13](#), suggests a subdued picture for small businesses. With more than 60% of U.S. jobs created by small businesses, the Fed will be very cautious about raising rates in the current environment.

Chart 13: This Does Not Support A Rate Hike

Source: Alpine Macro

Finally, AI adoption may have already boosted labor productivity in a meaningful way. Output per hour has surged to nearly a 3% annual rate, while unit labor costs have collapsed.

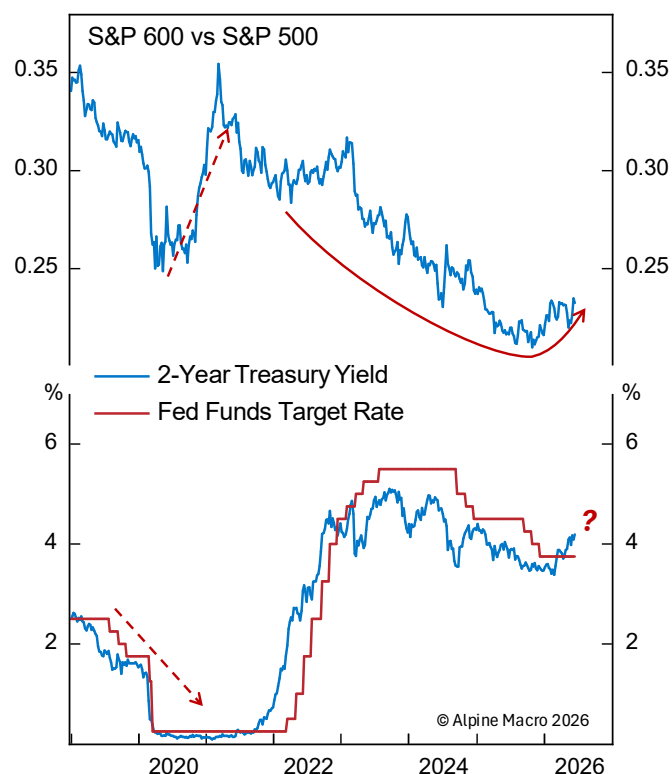
With wage growth having slowed to 3.4% and labor productivity growth running at 2.8%, the underlying inflation pressure from the U.S. consumer sector is less than 1%. This means that private consumption, which accounts for roughly 70% of the U.S. economy, is likely to be a disinflationary rather than an inflationary force.

The bottom line is that while half of the Fed's voting members may be signaling their intention to raise rates, the odds of actual tightening remain very low. We maintain our view that inflation will begin to decline later this year as these transitory shocks pass through the system.

In fact, surging productivity could drive inflation lower than currently anticipated, ultimately forcing the Fed to cut rates in 2027. **That is when investors will need to watch carefully for signs that the AI boom is beginning to take on the characteristics of a growing asset bubble.**

Some Investment Ideas

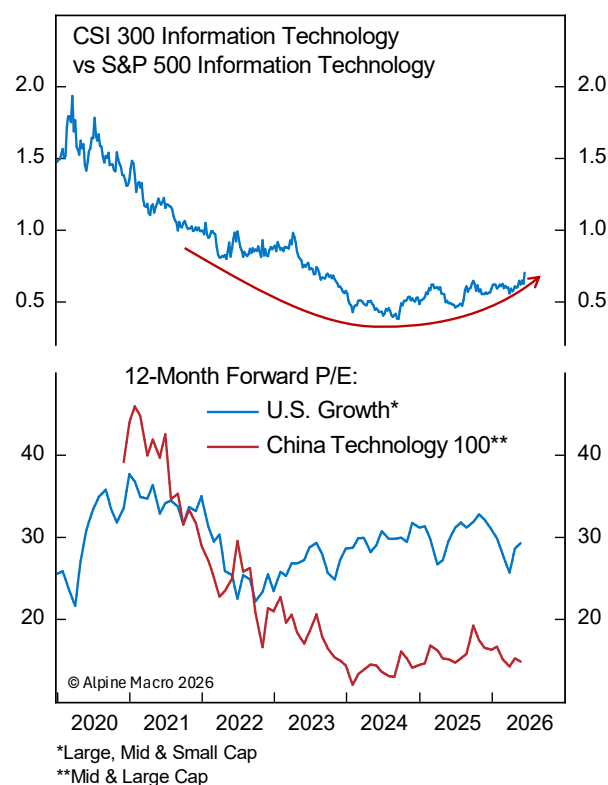
The first is to overweight or buy the S&P 600 Index (ETF: SPSM). **Chart 14** shows that profitable small-cap stocks have begun to outperform the S&P 500 since late 2025. Historically, small caps tend to outperform large caps when interest rates or rate expectations are falling.

Chart 14: Are Small Caps Predicting Falling Rates?

Source: Alpine Macro

This time around, the improved performance of the small-cap index may reflect investors looking beyond the current inflation problem and beginning to anticipate lower borrowing costs in 2027. Regardless, an overweight position in the S&P 600 could serve as an attractive diversification strategy. Bottom line: Buy SPSM.

The second idea is to overweight or buy Chinese technology stocks (ETF: CQQQ). **Chart 15** shows that China's information technology sector has formed a broad base. Importantly, while earnings growth for Chinese technology companies, at roughly 4%, is much slower than that of their U.S. counterparts, these stocks trade at half the valuation of comparable U.S. technology firms.

Chart 15: The Case For Buying China Tech

Source: Alpine Macro, MSCI

Perhaps the massive valuation discount of Chinese technology stocks more than compensates for their slower earnings growth. Bottom line: Buy CQQQ at 54.00.

Third, investors should consider buying the December 2026 SOFR contract as a way to position against the risk of a Fed rate hike and to benefit from the possibility that the market ultimately prices in renewed policy easing. Meanwhile, we reinstate our long position in TLT.

Lastly, we recommend that clients go long the value index (ETF: VLUE) as part of a barbell strategy. The value index should be a key beneficiary of AI dissemination, and its earnings growth is about to shoot up sharply. Bottom line: Buy VLUE.

Chen Zhao

Chief Global Strategist & Editor-in-Chief

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Investment Recommendations

Tactical Investment Positions (3-6 Months)							
Recommendations	Open Date	Open Levels	Stop	Closing Date	Closing Levels	Unrealized P&L	Realized P&L
Long Copper	04/20/2026	6.17	-	-	-	2.7%	-
Short USD/ZAR	05/04/2026	16.65	17.50	-	-	1.4%	-
Short USO	05/04/2026	145	155	-	-	20.8%	-
Long 30-year JGBs	06/01/2026	3.92%	-	-	-	1.4%	-
Long S&P 600 (\$SPSM) ¹	06/22/2026	55.86	-	-	-	-	-
Stop-Buy Chinese Tech Stocks (\$CQQQ) ²	-	-	54.00	-	-	-	-
Long December 2026 SOFR Futures Contracts ³	06/22/2026	95.89	-	-	-	-	-
Long TLT ⁴	06/22/2026	86.75	-	-	-	-	-
Long Value Index (\$VLUE) ⁵	06/22/2026	43.07	-	-	-	-	-

Source: Alpine Macro

Note: Unrealized P&L is calculated using Friday's close. For trades closed on the publication date, unrealized P&L becomes realized and, along with closing levels, is reported in the next publication using Monday's close.

¹ We are initiating a Long S&P 600 (\$SPSM).

² We are initiating a Stop-Buy Chinese Tech Stocks (\$CQQQ) at 54.00.

³ We are initiating a Long December 2026 SOFR Futures Contracts.

⁴ We are initiating a Long TLT.

⁵ We are initiating a Long Value Index (\$VLUE).

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